

GS - What Matters Today: Speculative trading activity adds fuel to narrow-breadth short squeeze, A Heavy Calendar Next Week, No More ECB Cuts - 25Jul25

FICC and Equities | 25 July 2025 | 11:42AM UTC

1) Speculative trading activity adds fuel to narrow-breadth short squeeze

Our new Speculative Trading Indicator shows a recent increase in high-risk activity within the US equity market. The indicator is constructed based solely on trading volumes. Specifically, it is calculated as the indexed and re-scaled first principal component of monthly changes in the proportion of US public equity dollar trading value attributable to [1] unprofitable stocks, [2] penny stocks, and [3] stocks with EV/sales multiples greater than 10x. During the past month, the share of trading activity taking place in each of those three groups of stocks has ranked in the top quintile of activity since 1990.

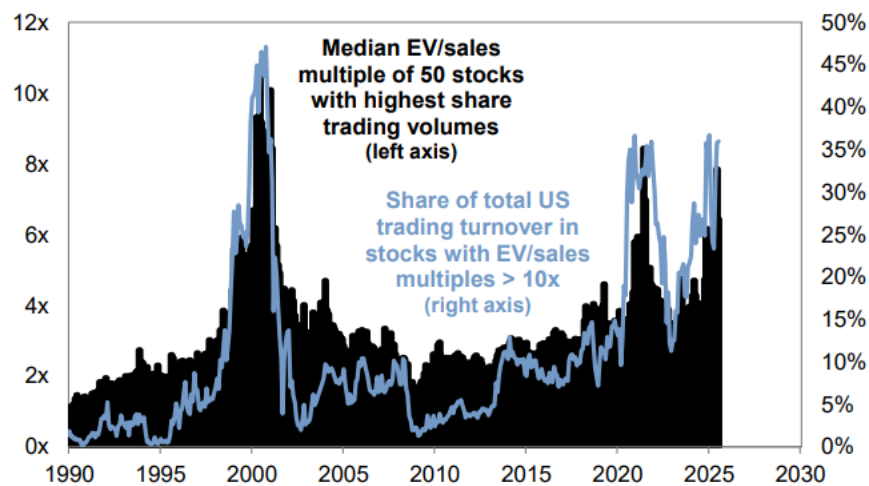
In particular, recent US equity trading volumes have increasingly centered on high-multiple stocks. The median EV/sales multiple of the 50 stocks with the highest share trading volumes, a simple measure that has historically tracked closely with the Speculative Trading Indicator, has also surged during the last few months. Today, that EV/sales multiple equals 8x, the highest level in recent decades outside of 2000 and 2021.

Exhibit 1: Speculative Trading Indicator shows a recent increase in speculative activity



Source: Goldman Sachs Global Investment Research

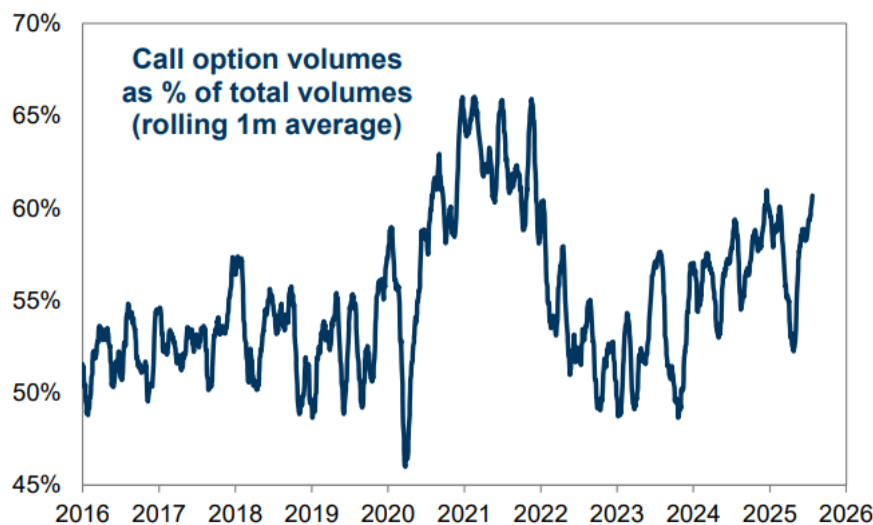
Exhibit 3: High-multiple stocks have recently become a large share of US equity trading activity



Source: Goldman Sachs Global Investment Research

Call option volumes have surged alongside the increase in "speculative" cash trading volumes. During the past month, calls have accounted for 61% of option volumes. This compares with a 20-year average of 55% and matches December 2024 as the highest share in a decade outside of the period from summer 2020 through early 2022.

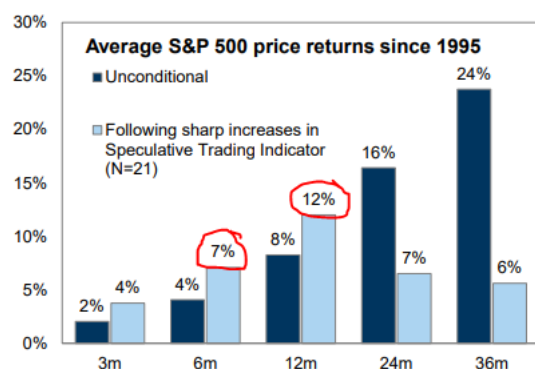
Exhibit 4: Calls have recently accounted for 61% of US option volumes



Source: Bloomberg, Goldman Sachs Global Investment Research

¶ In the past, [sharp increases in speculative trading activity have signaled above-average near-term equity returns](#) but a poor medium-term outlook for stocks. We define "sharp increases" as 3-month increases of 15 points or more, a ¶ reflecting roughly the top 5% of observations since 1990, but less than half the magnitude of the rise during the past few months. These above-average near-term returns have been ¶ accompanied by slightly higher near-term volatility and, more often than not, have eventually led to market drawdowns.

Exhibit 6: Sharp increases in speculative trading typically signal above-average short-term equity returns
Sharp increases defined as 3-month changes in the Indicator exceeding 15 points, or roughly the top 5% of observations since 1990

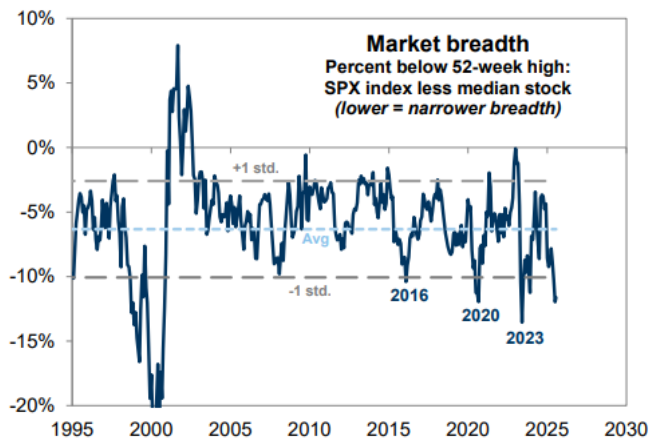


Source: Goldman Sachs Global Investment Research

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Recent positioning data and market internals indicate the potential for these recent ¶ rotations to continue. Despite the S&P 500 sitting at record highs, our US equity [Sentiment Indicator](#) reflects neutral positioning on average across US ¶ equity investors. Likewise, after the large increase earlier this year, as of last week short interest for the median S&P 500 stock remained above the historical average and close to the highest level since 2019. As a result of these positioning dynamics, [market breadth](#) remains extremely narrow, a **condition that typically signals risk to intra-market momentum.**

Exhibit 11: US equity market breadth has become extremely narrow



Source: Goldman Sachs Global Investment Research

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2) A Heavy Calendar Next Week

37% of S&P market cap will report next week (peak week of 2Q earnings) and several macro events, here is what you need to be on the lookout for:

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- Monday and Tuesday: Be on the lookout for headlines out of Bessent's trade talks with Chinese counterparts
- Wednesday: FOMC; META + MSFT after the bell
- Thursday: BOJ decision; AAPL + AMZN after the bell
- Friday: NFP + ISM... and most importantly tariff deadline

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3) No More ECB Cuts

Today's ECB meeting points to a higher hurdle for another cut than we had anticipated. President Lagarde highlighted the resilience of the economy, argued that the net effects of tariffs on inflation are unclear and concluded that the Governing Council is well positioned "to wait and see." The communication therefore suggests that the Governing Council will likely hold rates unless the outlook deteriorates materially.

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The outlook for trade policy remains uncertain, but the likelihood of an EU-US agreement for a 15% tariff rate has risen. While the economy is likely to soften in coming months, we will not receive much data between now and September. Moreover, we are notably more optimistic on growth in 2026 than the ECB given the expected German fiscal expansion.

We therefore no longer expect the Governing Council to cut rates in September. [We now believe that the cutting cycle is finished and raise our forecast for the terminal deposit rate to 2%](#) (from 1.75% previously). That said,

the ongoing trade tensions continue to skew the risks around our baseline to the downside.

Happy Friday!